

ORGMA

Organization and Management

Grade 12, Semester 1 study outline

A summary of section headings and key terms, made by students for revision. It is not the handout and does not replace it.

01. Definition and Functions of Management and the Different Theories of Management

- Definition and Functions of Management and the Different Theories of

Management

- Topic: Definition and Functions of Management and the Different Theories of Management

I. Introduction

II. Management Definition

- Management is defined as handling people tactfully and consolidating their efforts and activity in the organization.
- Management as a noun, is used as a singular collective noun (like group) which refers to a discrete nature of grouping of managers or people in charge of running a company or organization.
- Management as a process, it refers to organizational process that includes strategic planning, setting objectives, managing resources, deploying labor force, financial assets and measuring results.
- Management as a discipline, this refers to that branch of knowledge which is connected to study of principles & practices of basic administration.

III. The following are the different managerial functions that a manager exercises

- Planning - This includes defining goals, establishing strategy, and developing plans to coordinate activities.
- It involves mapping out exactly how to realize a specific goal.
- It also requires knowledge to create, develop and analyze opportunities which is known as strategic planning.
- There are two types of planning; a.
- It is the structure of the organization which helps determine what task to be done, who needs to do the task and how the task is to be performed and for whom to report to after the task is achieved.
- Staffing - This involves manning in the organization.
- Directing - This involves the supervision and motivation of the manager towards his/her employees to be more productive and efficient.
- When there is a high morale in the organization, it usually has a significant impact on the performance and productivity of the employees.
- Therefore, there is a need for the manager to motivate -- 1 of 5 -- employees, supervise, and direct them to be more effective and efficient at work.
- Controlling - This deals with monitoring the company's progress and ensuring that all other functions are operating efficiently.
- Since this is the last stage, an uncertain situation usually arises that might disrupt the operation of the business.
- Therefore, there is a need for the management to exercise corrective actions after thorough assessment and evaluation.

IV. The following are the different Theories of Management

1. Classical Theories of Management

- - Classical Theory is the oldest theory.
- The Theory of Social and Economic Organization - Max Weber - follows the principles of bureaucracy such as; management by rules, employment are based on technical qualification and other principles. b.
- Principles of Scientific Management - Frederick Taylor - proposed an objective and systematic method to identify "the one best way" to do a job using scientific selection and training methods; cooperation and clear division of responsibility between managers and workers; pay for performance. c.

2. The Neo-Classical Theories of Management

- - The Neo-classical theories believe that the best way toward gaining maximum productivity from workers is through

motivation, structure and supporting employees, considering the worker's intrinsic value in their jobs and having emphasis on the positive impact of social relationship on worker productivity.

- Participative Leadership - Mary Parker Follett - Workers and managers equally share power and responsibility for decision making and therefore, their outcomes. b.

- The Function of the Executive - Chester Barnard - proposed the acceptance theory of -- 3 of 5 -- authority which organizational goals will be achieved and managerial authority will be accepted if workers believe that their individual needs are being met. e.

3. The Modern Theories of Management

- Dealing with complexity is the core of modern management theory.

- It is a synthesis of several theories such as, behavioral science, Mathematics, statistics, operations / quantitative research and computing technologies.

Key terms

Management - defined as handling people tactfully and consolidating their efforts and activity in the organization

02. Functions, Roles, and Skills of a Manager

Functions, Roles, and Skills of a Manager

I. Introduction

II. LEVELS OF MANAGERS AND THEIR FUNCTION

- Functions of managers are viewed depending on what criterion is used.

1. TOP MANAGEMENT (Executive Managers)

- Managers occupy the highest position in the organization.

2. MIDDLE MANAGEMENT (Department Managers)

- They are managers of departments, division heads and other functional departments.

3. FIRST- LINE MANAGEMENT (Supervisory Managers)

- This includes supervisors of production divisions (that is, foremen and brigadiers) responsible for the implementation of decisions and who have direct control of tasks realization's process.

When this criterion is taken into

III. ROLES OF MANAGERS

A. INTERPERSONAL ROLES

- Liaison - Managers must communicate with internal and external contacts.

B. INFORMATIONAL ROLES

C. DECISIONAL ROLES

- This means solving problems, generating new ideas, and implementing them.

- Disturbance-Handler - When an organization or team hits an unexpected roadblock, it is the manager who must take charge.

- This involves allocating funding, as well as assigning staff and other organizational resources.

IV. SKILLS OF MANAGERS

- -- 2 of 4 -- A manager ideally has to be always equipped with the following Skills: 1.

- Management & Leadership Skills - These skills refer to setting priorities, delegating, motivating and developing the people under him/her; coach them to become top performers and communicate objectives and goals.

Key terms

Manager - described as a person who fulfills the fundamental managerial functions such as planning, organizing

Functions of managers - viewed depending on what criterion is used. The most often referred criterion is based

03. Environmental Forces that Affect Local and International Business

I. Introduction

- The international business environment includes different aspects like: social, political, economic, regulatory, tax, cultural, legal and technology.

II. INTERNAL AND EXTERNAL FACTORS

- Internal factors are those that occur within the premises of an organization and directly affect the different operations of the business.

A. The Internal Factors are

- It denotes the culture and norms of the business.
- This is the regulatory framework of a business which every employee must abide by and act within the context.
- These are the factors like financial policies, financial position and capital structure which also affect a business performance and its strategies.

B. The External Factors

- External Factors include those factors which exist outside the firm and often regarded as uncontrollable.

1. Micro environment includes the following factors

- Suppliers are those people who are responsible for supplying necessary inputs to the organization and ensure the smooth flow of production.
- Competitors are the close challengers of the business.
- It also refers to the numbers of similar competitive product brands, size, and market capitalizations.
- Therefore, marketing intermediaries are a vital link between business and the consumers.

2. Macro environment includes the following factors

- Demographic Factors refer to the study of people, such as their age, sex, marital status, occupation, family size etc.
- Since demography is uncontrollable because you cannot control the sex, age, marital status in the environment, this enables you to predict future trends and consumptions of your product.
- Political Factors include government policies, laws and legalities.
- It affects the kind of product that a dealer is offering.

III. Organizational Environmental Scanning

Key terms

Since demography - uncontrollable because you cannot control the sex, age, marital status in the environment

04. Forms and Economic Roles of Business Organizations

Forms and Economic Roles of Business Organizations

Organizations

I. Introduction

- Business is an entity or enterprise that provides goods and services in exchange for some form of money or another.

II. There are four major types of businesses

- Service Business - a type of business which provides intangible products.
- Examples of service businesses are schools, repair shops, hair salons, banks, accounting firms and law firms.
- They are known as "buy and sell" businesses.
- Examples are grocery stores, convenient stores, distributors and other resellers.
- Examples are baked goods, shoe manufacturing, grape wine production, cosmetic manufacturing, processed food, canned goods, and others.
- Hybrid Business - a company that may be classified in more than one type of business.

III. Four Basic Forms of Business Ownership, Examples and Its Advantages & Disadvantages

1. Sole Proprietorship - Business is owned and operated by only one person

- Advantages Sole proprietorship: - Easiest and least expensive form of ownership - Sole proprietors are in complete control, and within the parameters of the law, may make decisions as they see fit. - Profit from the business flow-through directly to the owner's personal tax return. - The business is easy to dissolve...
- Disadvantages of Sole proprietorship: - Sole proprietors have unlimited liability and are legally responsible for all debts against the business.
- Examples: Law firms, medical clinics, and Travel and Tours -- 3 of 6 -- Types of Partnership: a.
- Equal shares are assumed unless there is a written agreement that states differently. b.
- Limited Partnership and Partnership with limited liability. "Limited" means that most of the partners have limited liability as well as limited input regarding management decisions, which generally encourages investors for short term projects, or for investing in capital assets. c.
- Disadvantages of Partnership: - Partners are jointly and individually liable for the actions of other partners. - Profits

must be shared with others. - Since decisions are shared, disagreement can occur. - Some employee benefits are not deductible from the business income on tax returns. - The partnership may have a...

3. Corporation - A business organization that has a separate personality from its owners

Center), Avida Land Corporation

- Disadvantages of Corporation: - The process of incorporation requires more time and money than other forms of organization. - Corporations are monitored by federal, state and some local agencies, and as a result may have more paperwork to comply with regulations. - Corporations may result in higher overall taxes.

Cooperatives

- Advantages of Cooperative: - Less Taxation - Funding opportunities - Further marketing reach - Reduce costs and improve product and services - Perpetual existence, members can join or leave the business without causing dissolution. -- 5 of 6 -- - Democratic organization, monetary investment does not affect the weigh...
- Disadvantages of Corporation: - Less Operational Control - Fixed Pricing - A cooperative may suffer from slow cash flow since a member's incentive to contribute depends on how much they use the cooperative's services and products.
- Lack of membership and participation may cause the risk of losing members.

Key terms

Business - entity or enterprise that provides goods and services in exchange for some form of money or
Examples of service businesses - schools, repair shops, hair salons, banks, accounting firms and law firms
Examples - grocery stores, convenient stores, distributors and other resellers

05. Phases of Economic Development

Phases of Economic Development

- Topic: Phases of Economic Development

I. Introduction

- Philippine economic progress can be attributed too, to the development in agricultural products, which includes corn, sugarcane, pineapples, coconuts, bananas, rice cassavas, mangoes and pork, eggs, beef and fish.

II. What is Economic development?

- It generally refers to the sustained, concerted actions of policymakers and communities that promote the standard of living and economic health of a specific area.

III. Indicators of Economic Development

- There are a variety of indicators that economists use to measure the level of economic development in the country.

1. Declining Poverty Rates

2. Increasing Literacy Rate

3. Declining Infant Morbidity

4. Increasing Life Expectancy

IV. Five Stages of Economic Development

- Rostow was an economist in the Lyndon B.
- One of his most prominent ideas was the five stages of economic development.
- Stage One: Traditional Society -- 2 of 5 -- The first stage of Rostow's model and the one in which societies begin, is the traditional society.
- Stage Two: Preconditions for Take-Off There is a period of transition between the traditional society and a society that takes off, and for a certain time that society is establishing the preconditions for take-off.
- This requires a different type of skill set from human laborers, so the economy shifts from agriculture to production.
- Think of the United States, much of Europe, and some of Asia today, and you can see this stage of development at work.
- A society or economy in this stage is able to export production, bringing in money from other countries that helps the economy grow larger beyond actual consumption.

DIVISION OF CITY SCHOOLS - MANILA

06. Nature and Levels of Planning and Its Types

Nature and Levels of Planning and Its Types

- Topic: Nature and Levels of Planning and Its Types

I. Introduction

- Therefore, planning is somehow our blueprint or map to reach a certain destination of our wants.
- According to David Halt, planning is the process of defining an organization's Objectives and how it will achieve them like "what is to be done and when it is to be done".

II. Types of Plans according to its Dimension

- Planning is a process that involves techniques and tools and comes from different types such as corporate, divisional or business, unit or functional plans.
- Functional or Unit Planning or commonly called Operational planning is the lowest level of planning.

III. TIME FRAME

- Medium or intermediate range deals with plans that are more detailed compared to long range since the time span is shorter and concerns the basic functions of the organization.
- Short Range is an extension of long range planning and usually extends to about one year and includes more specific plans with respect to plant location, work methods, inventory and controls employee training and the like.

IV. ELEMENTS

- Strategies involve choices of particular actions by the organization to achieve stated goals.

B. Policies limit the behavior or organizational members

C. Procedures are narrower in terms of application in the

- It only tends to involve departmental activities such as hiring procedures and payment procedures.
- Rules are the thinnest element; these are usually orders with what is appropriate or not in terms of behavior of members in organizations.

V. REPETITIVENESS

Repetitiveness plans can be characterized by the degree

- of sameness with which they are used by the organization A.

VI. FOCUS

- Focus refers to the concentration of a given plan in an organization.
- It clarifies the function of a particular area where there is more attention needed.

1. Total Organization

2. Divisional or Business

3. Unit, Function, Department

Key terms

- Planning - process that involves techniques and tools and comes from different types such as corporate
- Focus - concentration of a given plan in an organization. It clarifies the function of a particular area

07. Planning Techniques and Tools

Planning Techniques and Tools

I. Introduction

- For effective planning in today's dynamic environments, different techniques and tools must be used.

II. Planning Tools and Techniques

- Several qualitative and quantitative tools are used to ensure the selection of the best course of action.

A. Qualitative Planning Tools & Techniques

- Brainstorming - This is a common technique used by groups of planners in selecting a common solution for a problem.
- Nominal Group Technique - This is a highly structured method that allows members to give their own inputs based on an agenda.
- However, the difference lies in the means of formulating courses of action.

- It is the group leader that facilitates the collection of data and manages the flow of information.
- One advantage of this technique is that no one can dominate the group or influence decisions.
- Planning is also more objective and there is an assurance that the decisions arrived at are a product of an objective and well-thought-out process.

B. Quantitative Planning Tools & Techniques

- Decision tree - It is an excellent tool for weighing different alternatives.
- It consists of a graph showing potential and alternative decision paths for the proposed plan.
- This method is especially useful for decisions that involve a succession of small decisions.
- All alternatives, from the most likely to the most unlikely ones, are given equal weight.
- A company with higher fixed costs than another firm, given that other variables (variable costs and selling prices) are the same will have a higher break-even point level.
- The break-even point is the level (of sales volume or prices) at which the firm's profit is zero, i.e., it incurs neither a profit nor a loss.
- At lower levels of prices or sales volume relative to the breakeven point, the firm will incur a loss; at higher levels than the breakeven point, the firm will earn a profit.
- Forecasting - Forecasting is the process of developing assumptions about the future that are relevant to the predicted level of certain planning variables, e.g., the company's future sales.
- A sales forecast is a prediction of expected sales, by product and price, for a specific time frame, e.g., month, quarter or year.

08. Nature of Organizations and Types of Organizational Structure

Nature of Organizations and Types of Organizational Structure

- Topic: Nature of Organizations and Types of Organizational Structure

I. Introduction

- Functions and authority must be clear and well-defined and resources must be properly allocated.
- An organization seems to be ineffective when it is ill-structured or not organized, hence, both human and material resources should be properly allocated.
- The type of structure adapted by the organization, however, influences how people act and perform within the organization.
- Below are the commonly used types of organizational structures.

II. Types of Organizational Structures

- Line Organization - The line organization is the simplest and oldest form of organization structure where authority is delegated directly from top to bottom.
- Both staff and line functions are performed by line executives.
- Below is the structure of a line organization.

Advantages of Line Organization

Disadvantages of Line Organization

- -- 1 of 3 -- - It encourages the development of an excessive load of administrative responsibility.
- Line-Staff Organization - The line staff is the pattern of most large and complex organizations.
- Below is the pattern of a line-staff organization structure.

Advantages of Line-Staff Organization

- - It maintains a single line of responsibility, authority and accountability - It provides the line executives with staff support of specialized knowledge or capability - It frees the line executive from performing functions not directly related to his work - It facilitates the recruitment and training of people nee...

Disadvantages of Line-Staff Organization

- - It creates a source of conflict between line and staff executives.
- Functional Organization - Functional organization fully applied the principles of division and specialization advocated by Frederick Taylor.
- For a functional organization to be effective, well qualified individuals should be appointed to all positions.
- Each individual should know exactly what is expected of him and what he expects others to do.
- Below is an example of a functional organization. -- 2 of 3 --

Advantages of Functional Organization

- It permits a high degree of specialization. - It is easier to fill positions in such an organization since function specialists are required to have only a limited number of talents. - It permits each specialist to become an expert in his own field. - It provides better technical supervision for subordinates than ...

Disadvantages of Functional Organization

- It suffers from dual authority and violates the principles of single accountability.
- Each is likely to feel that his area of specialization is the most important.

09. Organization Theories for Effective Business Management

Organization Theories for Effective Business Management

I. Introduction

- A theory is defined as a statement or proposition that explains the relationships between two or more concepts .

II. ORGANIZATION THEORIES

1. Bureaucracy

- In the late 1800s, Max Weber expressed dissatisfaction with the way companies were managed because they were run like families.
- Each role within hierarchy is defined and employees are organized to work together.

2. Scientific Management

- Frederick Taylor became a controversial figure in the field of management when he introduced his theory of scientific management.
- While he made improvements in industrial engineering, particularly with time and motion studies, his emphasis on the most efficient means of performing tasks dehumanized factory workers.

3. Systems Theory

- In the 1950s, Karl Ludwig von Bertalanffy and Kenneth Boulding laid the foundations of the systems theory.
- The theory emphasizes that a system is a collection of parts that are coordinated in accomplishing a particular goal.
- For example, the human body is a system of organs which operate as a whole.
- The theory holds that the work of a manager is necessarily complex but implementing a system removes some of the complexities of management because it enables the manager to integrate essential tasks into a unified whole. - For example, Starbucks is a global company that operates in many parts of the world.

10. Concept and Nature of Staffing

Concept and Nature of Staffing

I. Introduction

- Staffing is one of the most important functions of management.
- Staffing encompasses the recruitment, selection, assignment or placement, and development of the various kinds of human resources required by the organization.

II. STAFFING: Definition & Concept

A. Definition

- Staffing, like all other managerial functions, is the duty which the apex management performs at all times.
- Staffing is an integral part of human resource management.

B. Concept

- However, as the business grows, company operations will be harder to manage especially if key positions and functions are vacant.
- Staffing or Human Resource Management involves acquiring and developing human resources that will carry out and perform the various activities of the organization.
- Staffing includes recruiting, selecting, training, and developing people in the organization.
- Staffing is a continuous process.
- This is due to the never-ending need to find, hire, and develop talents for the company.

III. THE HUMAN RESOURCES DEPARTMENT

- The activities of the HR Department include the primary functions and activities of human resource management such as human resource planning, job analysis, recruitment and hiring, training and development, performance

appraisal and management, compensation, and employee relations.

IV. Nature of Staffing

- People Centered: Staffing is people centered and is relevant in all types of organizations.
- It is concerned with all categories of personnel from top to bottom of the organization.
- Responsibility of Every Manager: Staffing is a basic function of management.
- Thus, staffing is a pervasive function of management and is performed by the managers at all levels.
- It is the duty of every manager to perform the staffing activities such as selection, training, performance appraisal and counseling of employees.
- But it does not mean that the managers at different levels are relieved of the responsibility concerned with staffing.
- Human Skills: Staffing function is concerned with training and development of human resources.
- Every manager should use human relations skills in providing guidance and training to the subordinates.
- If the staffing function is performed properly, the human relations in the organization will be cordial.
- Continuous Function: Staffing function is to be performed continuously.

Key terms

Staffing - one of the most important functions of management. Though managers do not make staffing decisions

He - actively associated with recruitment, selection, training and appraisal of his subordinates. These activities are

11. Staffing Process

Staffing Process

I. Introduction

II. STAFFING PROCESS

STEP 1: HUMAN RESOURCE PLANNING AND JOB ANALYSIS

A. Human Resource Planning

- Human resource planning (HRP) is the process of using an organization's goals and strategy to forecast its human resource needs in terms of attracting, developing, and keeping a qualified workforce.
- However, there are also positions that require special types of skills and getting applicants in these positions can be difficult.

2. Forecasting and estimating the firm's manpower complement - The status of employment in the

- organization, specifically the number of regular and contractual or temporary employees should be determined.
- Gap analysis - Gap analysis is done to determine if there is a gap or difference between demand and supply in human resources.
- If there is a shortage of workers, the firm may opt to allow or encourage overtime work or hire temporary or contractual workers.
- It may also choose to outsource and allow a third party to perform the functions of unfilled positions.

B. Job Analysis

- Job analysis is the procedure for determining the duties and skill requirements for a job or position, as well as other qualifications sought for in an employee or applicant.
- Job description is a written statement that describes the job-what a job holder does, how it's done, and why it's done.
- Job specification states the minimum qualifications that a person must possess to perform a given job successfully.

3. The following information can be collected through job analysis

STEP 2: RECRUITMENT, SELECTION, PLACEMENT, AND TRAINING AND DEVELOPMENT

A. Recruitment

- Recruitment is the process of attracting the appropriate number of qualified individuals to apply for vacant positions in an organization.
- The recruitment process costs both time and money such that management should be able to attract the qualified candidates within a reasonable period of time at minimum costs to the firm.

1. Internal Recruitment - means considering present employees as candidates for job openings

- External recruitment - is the process of attracting individuals outside the organization to apply for positions with the firm.

B. Selection

- Selection is the process of gathering information about the applicants with the objective of arriving at a decision to

hire the appropriate person for the vacant position.

- The selection process normally consists of some or all of the following activities:

1) applicants are asked to fill up an application form,

2) applicants are asked to take tests, and

3) applicants are interviewed

C. Placement

- When a candidate accepts the job offer, the next step is the submission of pre-employment requirements such as transcript of records, NBI clearance, certificates, and other documents.

- A candidate has to undergo a medical examination which includes a physical exam, x-ray, blood test, fecalysis, and urinalysis to determine his or her fitness for work.

D. Training and Development

- In order to have an edge over their rival organizations, managers must see to it that their human resources have the necessary knowledge and expertise; training and development work toward this end by providing continuous learning activities and opportunities.

- Development - is the enhancement of the competencies of employees by giving them opportunities for greater responsibilities as well as challenging tasks that will help them achieve their total growth. a.

- New Employee Orientation Program - The initial training of newly-hired employees includes an orientation.

- The Training Process - Training is an important investment a company can make with their employees.

- The training process includes pre-training assessment, designing the training program, implementation, and evaluation.

STEP 3: PERFORMANCE APPRAISAL

- Performance appraisal refers to the process where employee performance is documented and evaluated.

- This is done periodically by the company and management decides on how frequently it is conducted and the means by which employees are appraised.

B. Performance Appraisal Methods

1. Objective Methods

- Measures of actual output include volume of sales or number of orders processed. b.

2. Judgmental Methods

- Ranking technique is a method where employees are compared to other employees. b.

- Rating technique is an appraisal method that compares an employee to a fixed standard.

Key terms

Forecasting - done to identify the demand for and supply of employees while considering the manpower

Job analysis - procedure for determining the duties and skill requirements for a job or position, as well as

Recruitment - process of attracting the appropriate number of qualified individuals to apply for vacant

Selection - process of gathering information about the applicants with the objective of arriving at a decision

12. Compensation, Employee Benefits, and Reward System

Compensation, Employee Benefits, and Reward System

I. Introduction

- A company's compensation and reward system refers to the totality of the inducements that a firm provides in order to:

1. attract people to work for the company

2. motivate them to perform well while working with the company, and

3. induce them to remain with the company over time

- The company's reward system is made up not only of the compensation system but also includes such elements as recognition and symbolic rewards, and other non-economic inducements such as good working environment, pleasant climate of work, etc.

- A company's compensation system, as used in this chapter, refers to all forms of economic remuneration, whether in financial form or otherwise, which it provides to employees.

II. DIRECT MONETARY COMPENSATION

- Direct compensation is monetary in nature and given in the form of salaries, wages, commissions, bonuses, and allowances.
- If there is a demand for highly-skilled jobs, the corresponding pay is higher for employees that have the corresponding skills because there are many companies that would like to get their services.
- On the other hand, companies looking to hire employees with average skill often offer compensation that is a little over the minimum.
- Straight monthly salary - method of compensating employees is the most common for regular or permanent employees of all types.
- Incentive plans include three types, namely: -- 1 of 4 -- a.
- It includes the following: a.
- Night differential payment - This is an additional 10% of basic rate for each hour of work performed between 10:00 PM to 6:00 AM. d.
- Service charge - This refers to fees charged to cover services related to the production of a product or provision of service.
- Severance or separation pay - It is the duty of the firm to provide separation pay to employees who are terminated with authorized cause. f.
- The pay will include the following: - Basic salary worth fifteen days based on the retiring employee's latest rate - Five days service incentive leave - One-twelfth of his 13th month pay or two and a half days g.

III. EMPLOYEE BENEFITS

A. Government-mandated benefits

- Pag-ibig (Home Development Mutual Fund) benefits - Employees also contribute to Pag-ibig, which is the government-established housing finance program.
- Philhealth (Philippine Health Insurance Corporation) benefits - This is a government-established health insurance program that gives members and their dependents financial assistance for hospitalization.
- Special leave for women - This is granted to female employees with gynecological disorders that involve surgical procedures regardless of age or civil status.

B. Voluntary Benefits

- Vacation leaves are usually not convertible to cash and should be used up before the end of the calendar year.
- Some examples include bringing an immediate family member to a hospital, floods due to typhoons, and other emergencies.

6. Rice subsidy - Regular employees are provided one sack of rice per month

- Christmas parties and packages - Christmas benefits are extended to employees in the form of Christmas parties that include exchange gifts, raffles, and gift basket giveaways.

11. Cash bonuses - Companies provide cash bonuses to employees at the end of the year

- Executive perquisites - These are additional benefits given to top management in the form of free limousine service, free hotel accommodations, gasoline allowances, and the like.

IV. REWARDS

A. Individual Contingent Pay

1. Pay for performance scheme - a bonus based on performance

4. Pay for skills - This payment depends on the skills acquired by the employee

B. Group contingency pay

- There are two types of organization-wide payments. a.
- Profit sharing - This refers to a scheme where employees share in the profits of the company either through cash payments or shares of stocks.

Key terms

Direct compensation - monetary in nature and given in the form of salaries, wages, commissions, bonuses, and
 Employee Benefits - divided into two main groups: government mandated and voluntary benefits. Government-
 Vacation leaves - usually not convertible to cash and should be used up before the end of the calendar year

13. Employee Movement and Relations

Employee Movement and Relations

I. Introduction

II. EMPLOYEE MOVEMENT

A. Vertical movement entails the movement of an employee from a lower position to a higher one

- Horizontal movement involves the transfer of an employee to another department or position with similar responsibilities or status.
- Promotion is a movement to a higher level or position.
- The usual criterion is a combination of tenure and meritorious performance.
- Tenure refers to the number of years in service of an employee while meritorious performance refers to an excellent or outstanding performance of an employee.
- Demotion is a movement to a lower level or position.
- Transfer is a movement to another position but with the same level or scope of responsibility.
- In some cases, an employee may have another position but the level is still the same.
- Separation or an employee's departure is the last type of movement.
- Resignation - is an employee's voluntary decision to leave the organization.
- Separation with authorized cause - more commonly known as layoff, this is the company's decision to terminate employees due to business reasons.
- One common reason is redundancy, wherein the introduction of a new technology will duplicate some of the existing functions of certain jobs.
- The severance package consists of a considerable monetary package to enable employees to maintain their standard of living during the period that they are unemployed. c.

III. EMPLOYEE RELATIONS

- Effective employee relations management is an essential component that contributes to the success of a company.
- Employee relations applies to all phases of work activities in organizations, and managers, to be effective, must be able to encourage good employee relations among all human resources under his or her care.
- The following elements are considered in establishing and maintaining good employee relations: 1.
- It is very important to always win employees over and gain their loyalty to the organization.
- Harmonization of terms and conditions of employment - Management should ensure that employees are provided good work conditions and benefits as stated in their employment contracts.
- Emphasis on mutuality - Management must be inclusive and employees must feel that managers are also a part of the work team.
- Policies and practices for communication - Clear and honest communication between employees and management is a vital component of labor relations that will ensure continuous and harmonious relationship among members of the company. -- 3 of 4 -- Zarate, C.A. .

Key terms

Assessing movement of employees - essential for any organization. The most basic employee movement

Employee movements - inevitable and are often the result of evaluation or structural changes within an

Effective employee relations management - essential component that contributes to the success of a company

14. Directing

Directing

I. Introduction

- An organization is defined by the capacity of its managers to set the direction of the company and promote change.
- Directing involves issuing orders to subordinates and supervising how these orders are carried out by them, and if necessary, motivate the employees for higher performance and hence to the accomplishment of the organizational objectives effectively.
- According to Theo Haimann, directing consists of the processes and techniques utilized in issuing instructions and making certain that operations are carried on as originally as planned.

II. MOTIVATION

- Motivation is the psychological process of directing behavior.
- A person's performance in work and other tasks is defined by both ability and motivation.
- Primary motives include biological needs such as food, shelter, belongingness, among others. b.
- Secondary motives involve the need for stimulus and social needs. - An example of a stimulus is curiosity or exploration. - Social needs include power, affiliation, or fame.

- Behavior is composed of actions aimed at accomplishing or achieving a particular motive or need.
- Goal, meanwhile, refers to the achievement or fulfillment of a motive.

III. LEADERSHIP

- Leadership refers to a process of social influence that enables a person to encourage others and enlist their aid and support in the performance of tasks and in achieving a particular goal.
- Leadership is not primarily based on power and authority but is a product of social interaction and defined by personal characteristics such as charisma, intelligence, and other traits.
- Ideally, leadership should result in the willingness of individuals to work with zest, ardor, and self-reliance.
- In addition, management experts also identify four primary traits that leaders should possess.
- These participants include subordinates, peers, superiors, and other stakeholders.
- This decision-making style is appropriate for making quick decisions and if there is no need to involve a lot of people for decision making to have a successful outcome.
- This is a good approach especially if participants are capable and do not need close supervision.

III. COMMUNICATION IN THE WORKPLACE

- The following are the elements involved in the communication process:

1. Input - the content of the message

2. Sender - the one who encodes or sends the message

3. Channel - the means by which the sender relays the message to the receiver

5. Receiver - the one who decodes or receives the message

6. Output - the content of the message as decoded by the receiver

7. Response - the reaction of the receiver to the message

8. Feedback - the part of the receiver's response that is transmitted back to the sender

- Barriers to Communication in the Workplace: -- 3 of 4 -- Organization members may encounter various types of barriers that can alter the meaning of communications that they receive.
- These barriers include filtering, emotions, information overload, defensiveness, language, and national culture.

Key terms

Motivation - psychological process of directing behavior. Psychologists consider human behavior as

Leadership - process of social influence that enables a person to encourage others and enlist

15. Controlling

Controlling

I. Introduction

- An organization is a group of persons working together for specified purposes or goals.
- The behavioral aspect of control should not only narrow the gap between personal goals and organizational goals but should also motivate employees to strive toward these organizational goals.
- These functions are, however, interrelated.
- These different managers who have different responsibilities should, therefore, be coordinated.

II. NATURE OF CONTROLLING

- Control is the management function that involves monitoring activities to ensure that they're being accomplished as planned and correcting any significant deviations.
- Controlling is also considered an end function because this is performed after all other functions are done.
- It is also a dynamic process because any deviations from standards should be immediately corrected.
- Constant monitoring is a vital component of the control process.

III. THE CONTROL PROCESS

- The Control process involves three basic activities: -- 1 of 5 --

1. Establishment of Standards

2. Analysis of Performance

- The established standards should be used to measure performance if the control system is to influence people to change their behavior.
- When comparing actual performance with standards, reports should be prepared for management to signal whether managers and their units are performing satisfactorily or not.
- These reports are based on financial and non-financial data.
- In using financial data, accounting information does not

have to be presented in conformity with generally accepted accounting principles. - Evaluation of performance should be done periodically and on a regular basis.

- Appropriate action must be taken by management on the basis of the evaluation made.

3. Correction of Deviations

- - Analysis of performance should lead to remedial actions when actual performance of managers or their respective units is not in accordance with planned performance. - This activity could feed back to the first step of the control process, i.e., the establishment of new standards.

IV. CONTROL METHODS AND SYSTEMS

- In implementing control methods and techniques, the manager must be aware of the timeliness by which they can apply certain control techniques.

- The appropriate measure must be applied at the correct time to ensure the smooth conduct of operations.

A. Control Measures based on Timeliness

- The first type is called feedforward control, the second is concurrent control, and the last is feedback control. -- 2 of 5 --

1. Feedforward Control

- - The most desirable type of control. - Prevents problems because it takes place before the actual activity. - An example of feedforward control is the scheduled preventive maintenance programs on aircraft done by the major airlines.

- However, these controls require timely and accurate information that isn't always easy to get.

- Thus, managers frequently end up using the other two types of control.

2. Concurrent Control

3. Feedback Control

- - The most popular type of control relies on feedback. - In feedback control, the control takes place after the activity is done. - The major problem with this type of control is that by the time a manager has the information, the problems have already occurred, leading to waste or damage.

- However, in many work areas, the financial area being one example, feedback is the only viable type of control.

- Examples of these are as follows:

1. Administrative Control

- - This technique entails establishing procedures and policies that ensure efficiency in the activities of the company.

2. Delegation

-- 3 of 5 -- - This involves assigning an employee to take responsibility in completing a task.

3. Evaluation

- - This type of control involves the collection and analysis of information in order to make decisions.

- This involves collecting the results of marketing efforts, sales reports, and project evaluations. - Evaluation enables the company to identify aspects of operations and tasks that need revision or improvement and identify problem areas that need to be immediately addressed.

4. Financial Reports

5. Quality Control

- - This control method relies on the quality of products and services as a basis for establishing performance standards, monitoring results, and comparing results with the standards. -- 4 of 5 -- Zarate, C.A. .

Key terms

Control - management function that involves monitoring activities to ensure that they're being accomplished

Controlling - also considered an end function because this is performed after all other functions are done. It is

Integral to administrative control - full and timely implementation of management policies and plans

16. Management Control Application

Management Control Application

I. Introduction

- Management control in accounting and finance is the control that makes use of the balance sheet, income statement, and cash flow statement to analyze and examine financial statements in order to determine the company's financial

soundness and viability, as well as financial ratios to determine the company's stability.

- On the other hand, management control in marketing is the control that makes use of projected sales or forecasts, statistical models, econometric modeling, surveys, historical demand data, and actual consumption of their products.

II. Accounting or Financial Controls

- The main types of financial statements are the balance sheet and the income statement.

A. Balance Sheet

- The three major parts of a balance sheet are the following:

1. Assets - are things or resources that the company owns

- Current Assets - include cash on hand, cash in bank, accounts receivable, and etc. -- 1 of 3 -- b.

- Property, plant, and equipment - include assets such as land, buildings, furnitures and fixtures.

- Liabilities - are the obligations of the company to creditors for past transactions such as acquisition of raw materials and other debts.

- A bank loan is an example of notes payable.

- This is a long-term liability. b.

- Accounts payable - refers to the obligations of the company to suppliers without a written promissory note and are classified as current liability. c.

- Income taxes payable - shows the amount the company should remit as taxes to the government.

- Preferred stock - is a special class of stock whose holders are given preference in the distribution of dividends before the common stockholders. c.

- Retained earnings - is the net income of the corporation less dividends.

B. Income Statement

- The income statement consists of three main parts: 1.

- Revenue - This is the income from primary activities such as the production and selling of goods on the part of the manufacturer.

- Sales revenue refers to revenue gained from the sale of goods by retailers, distributors, manufacturers, and wholesalers.

- The resulting amount is the net income and may be expressed as a profit or loss.

III. Marketing Controls

- Control is also applicable in the marketing function since setting performance standards is an important part of developing marketing objectives.

- Corrective actions are implemented in case of deficiencies in sales performance, Many companies employ a marketing controller who is knowledgeable in both finance and marketing processes. -- 2 of 3 -- There are four types of marketing controls: 1.

- Strategic control - This refers to processes implemented to control the formulation and execution of strategic plans.

- The organization evaluates its activities to determine whether it is taking advantage of opportunities in terms of target markets and marketing channels.

- This is the responsibility of top management and the marketing auditor. a.

- Marketing effectiveness - This marketing control tool evaluates the extent and quality of customer relations, how the marketing function is integrated with the other functions of the organization, and how well marketing activities and functions are coordinated. b.

- Marketing audit - This is a detailed and systematic analysis of past and present marketing activities of the organization.

- These include consumer panels, collecting data on returns and complaints, customer surveys, and sales force reports.

Key terms

Control - applied to many functional areas in the business organization, particularly in accounting and marketing

Financial controls - important tools that determine whether the company is on track toward achieving its

17. Functional Areas of Management

Functional Areas of Management

I. INTRODUCTION

- Management encompasses several activities, functions, and tasks in an organization; in particular, the functions of

management are applied in several specialized functional areas of the organization.

II. FUNCTIONAL AREAS OF MANAGEMENT

A. HUMAN RESOURCE MANAGEMENT

1) the administration of employee benefits,

- HR managers outline the different positions from top management up to the people in the lowest level of the organization.
- They continuously search for qualified applicants to fill vacant positions by employing various means to find and acquire people who can be an asset to the organization.

B. MARKETING MANAGEMENT

- Thus, planning is the most important function of the marketing manager.
- The marketing director must effectively manage both the budgeting and the creative process.

C. OPERATIONS MANAGEMENT

- -- 2 of 5 -- Operations management focuses on designing and controlling production and business operations related to production.
- It involves management of facilities, processes, distribution, and resource planning.

D. FINANCIAL MANAGEMENT

- Investment decision-making involves the preparation of long-range plans and budgets for major investments such as plant expansion and replacement of existing production facilities.
- This involves decisions on when to issue common stocks, preferred stocks or bonds or when to borrow long-term or short-term.
- Chief financial officer (CFO), is the head of the finance department in large companies that reports directly to the president or chief executive officer (CEO).

3. Credit managers develop credit policies and monitor collection of accounts

E. PROCUREMENT MANAGEMENT

- Procurement is the act of purchasing or acquiring goods and services for company use.
- Companies usually have a separate department for procurement, which is called the purchasing department.
- It is the responsibility of the purchasing managers and buyers or purchasing officers to find the best goods, raw materials, and services at the lowest possible cost.
- Purchasing officers should be familiar with the items to be purchased since they communicate and negotiate with suppliers.
- Officers in charge of purchasing equipment and machines should know the technical aspects of these goods.

F. OFFICE MANAGEMENT

- Office management involves the proper handling and maintenance of the clerical aspects of all the functional departments of the organization, as well as the facilitation of proper communication, coordination, and storage of data.
- Many companies have a separate department for office management which is called the administrative department.
- Office management also involves payroll, records, telecommunications, and parking management.

G. INFORMATION AND TECHNOLOGY MANAGEMENT

- Information technology refers to the application of computer and telecommunications technology to store, manage, and transmit data in businesses and other organizations.
- Their tasks include software and hardware management, networking, and internet maintenance.

Key terms

Financial Management - primarily concerned with investment and financing decisions. Investment decision-

Procurement - act of purchasing or acquiring goods and services for company use. Companies usually have a

Information technology - application of computer and telecommunications technology to store

Information systems - organized systems or networks that collect, store, and disseminate information required

18. The Steps and Importance of Starting a Family Business

The Steps and Importance of Starting a Family Business

I. Introduction

II. What Is a Family Business?

- Usually, a family business is a company run with a partner, sibling, or other close relatives, but it could even be with a

best friend.

A. Advantages of Family Businesses

- There are plenty of advantages of family businesses - these are the reasons why such ventures are so appealing.

- 1. You already know your workers**
- 2. Comfortable atmosphere**
- 3. An advantage over other businesses**
- 4. Greater flexibility**
- 5. Customers prefer family businesses**

B. Disadvantages of Family Businesses

- Of course, there are also many disadvantages of family businesses.
- It's crucial that you assess these disadvantages before you decide a family business is the right choice for you.

- 1. Family relationships will change**
- 2. Kids should still work elsewhere**
- 3. Promotions Need to be Based on Merit**
- 4. Creativity is sometimes stifled**

C. Common Types of Family Businesses

- Unsure what kind of family business to start?
- There are a few most common types of family businesses that are popular because they lend themselves to a family structure.

- 1. Restaurant**
- 2. College Advice**
- 3. Farm**
- 4. Handyman and Repairs**
- 5. Childcare**
- 6. Senior Care**
- 7. Other small businesses**

III. How to Start Family Business

- Just like with any other type of company, it's necessary to have a plan in place to start a family business.
- Involve everyone who will be working at the business in this planning to ensure that you're all in agreement.
- Step 1: Define Your Business Idea All of you should be passionate about the business idea.
- Step 4: Talk About Risk Starting a business is always risky.
- Whatever you do, you'll need to confirm your choice is in accordance with state wage laws. -- 2 of 3 -- In addition to payment, you must agree how much of the business each family member owns (if any).
- This will include the percentage they receive if you sell the business.
- It's critical that you treat these employees the same as your family members - with the same opportunities to move up and involve them to the same degree when celebrating milestones.

Key terms

Starting a business - always risky. There's a chance that your venture will fail and you'll lose your investment